

Dubai Real Estate Market

Geopolitical Impact & Investment Outlook

A1 Investments Analysis

Mar-2026

Regional Context



Geopolitical tensions create short-term volatility in investor sentiment.



Capital historically shifts toward stable markets during uncertainty.



UAE widely viewed as a regional safe-haven investment destination.



Dubai benefits from global capital inflows during geopolitical instability.

Structural Strength of the UAE

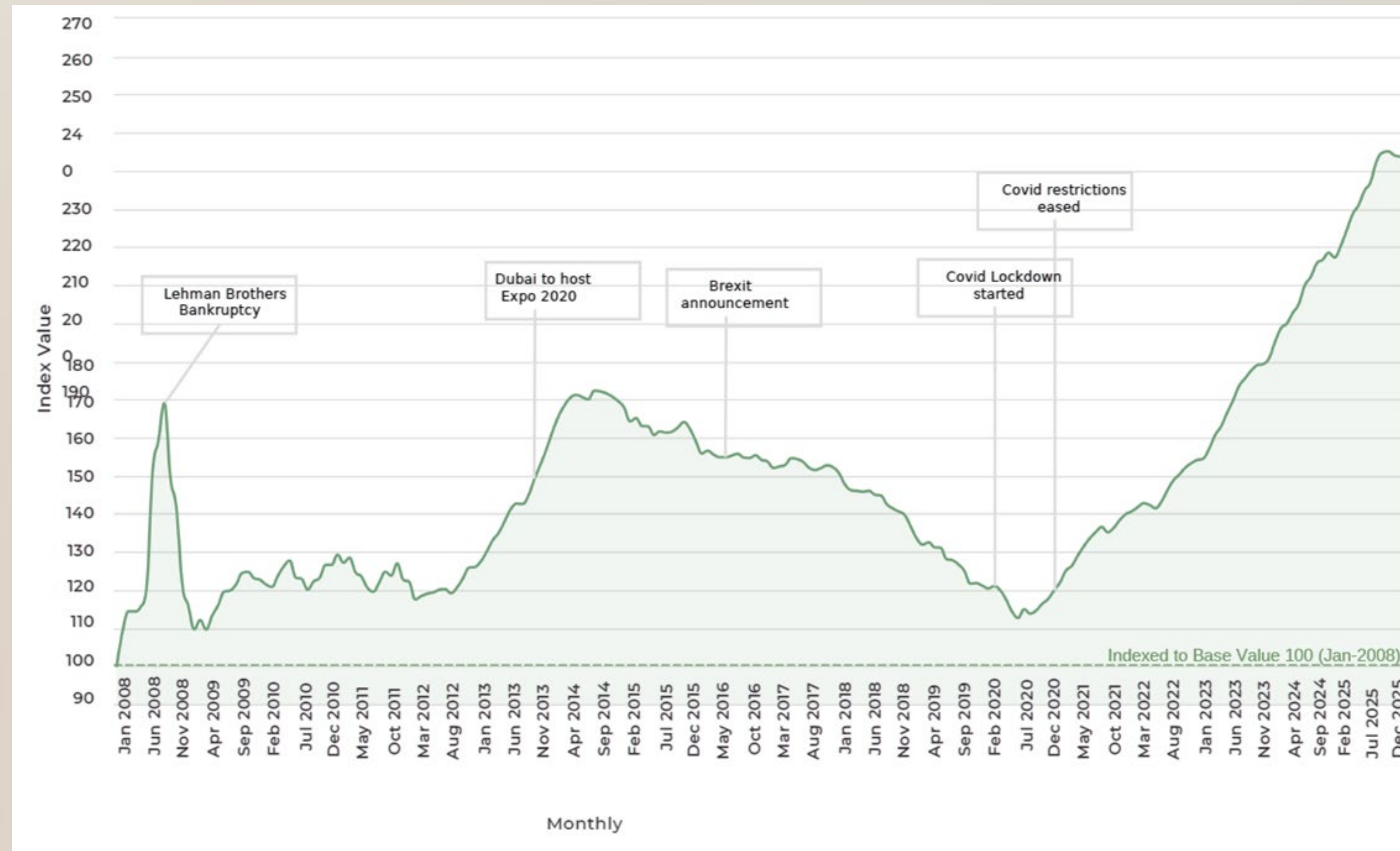
► Political neutrality and strong global relationships.

► AED currency peg to USD reduces exchange risk.

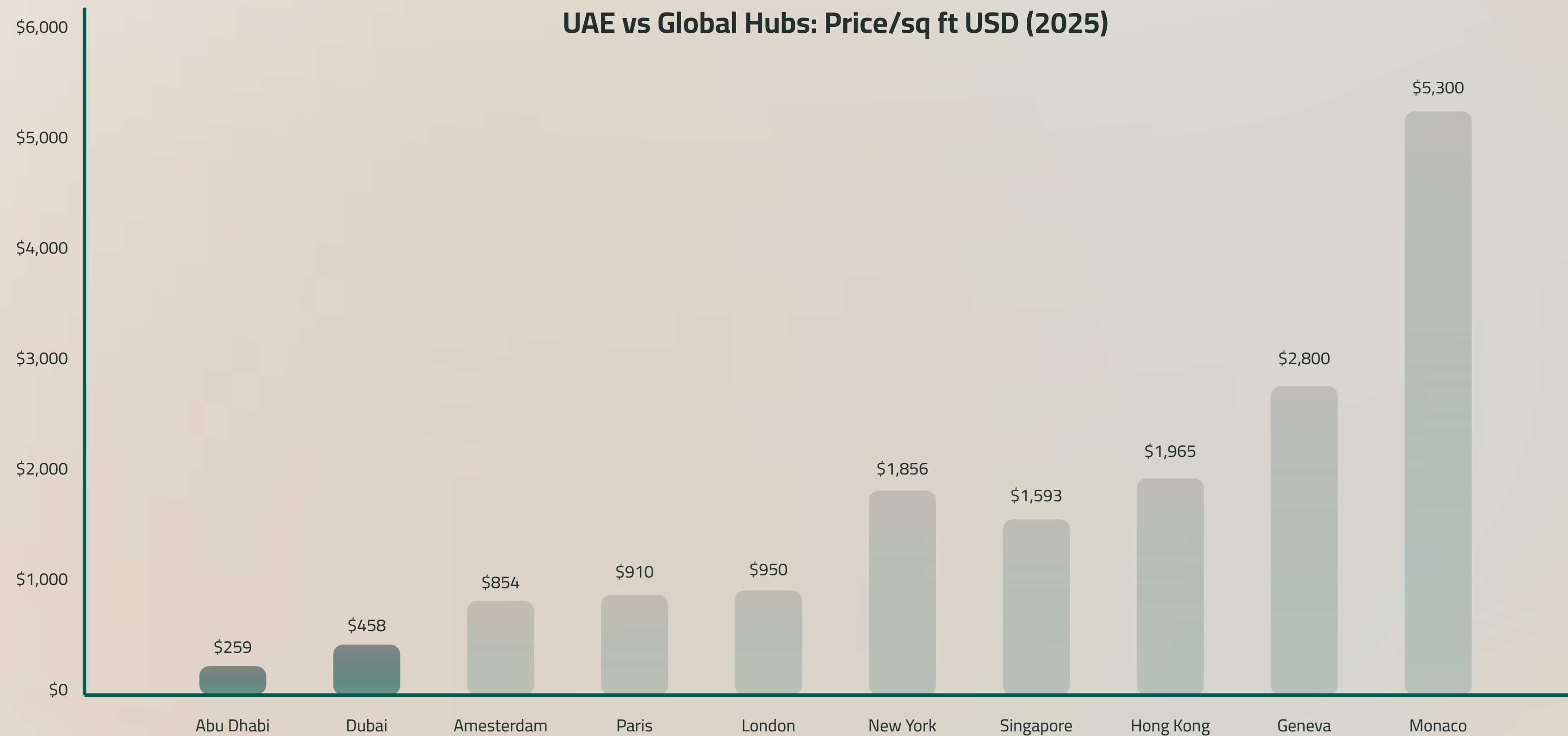
► Government stimulus & visa reforms support economic stability.

► Strong institutional framework attracts global investors.

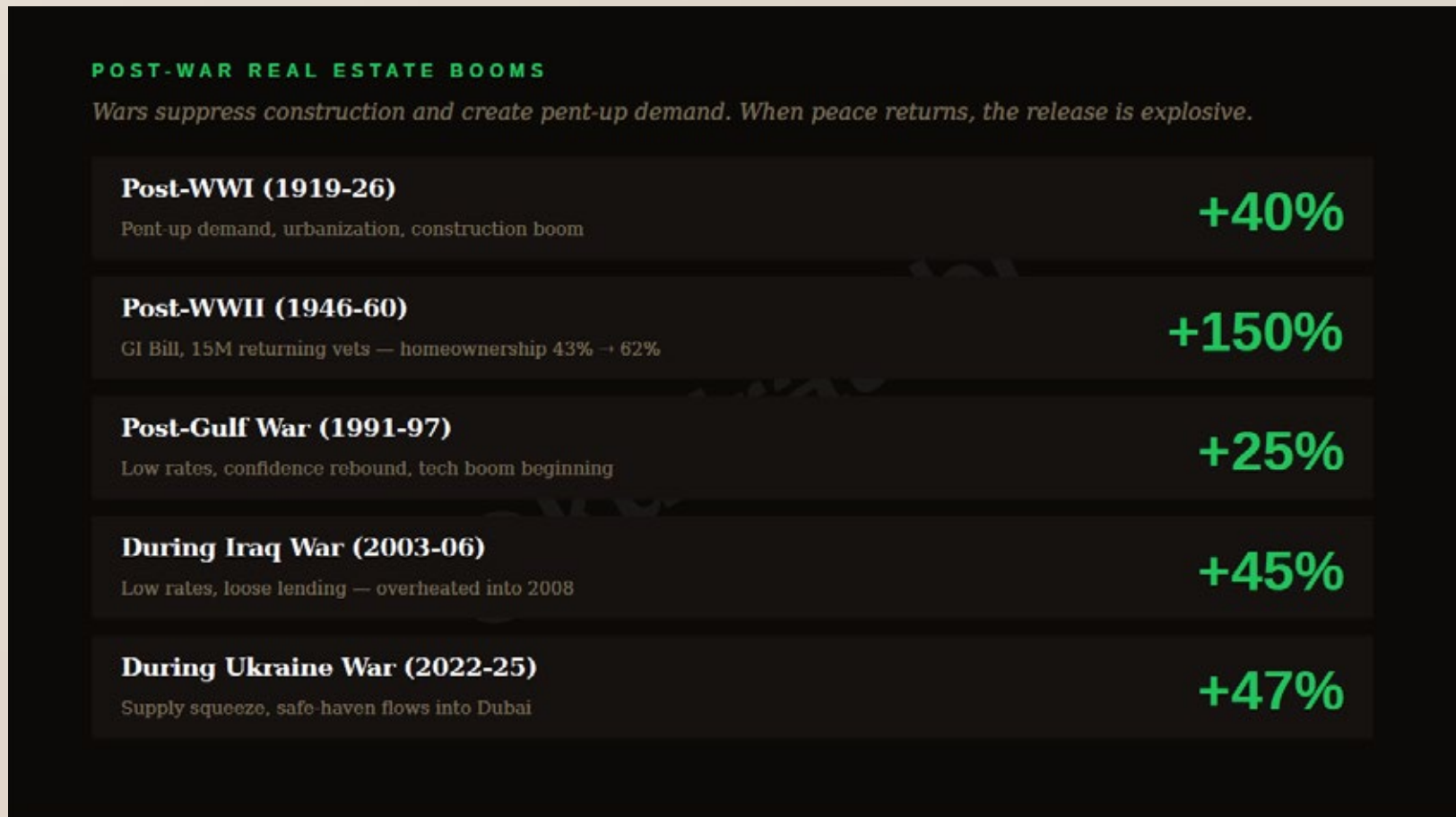
Dubai Market Crashes & Recovery Cycles



Global Property Price Comparison (\$/sqft)

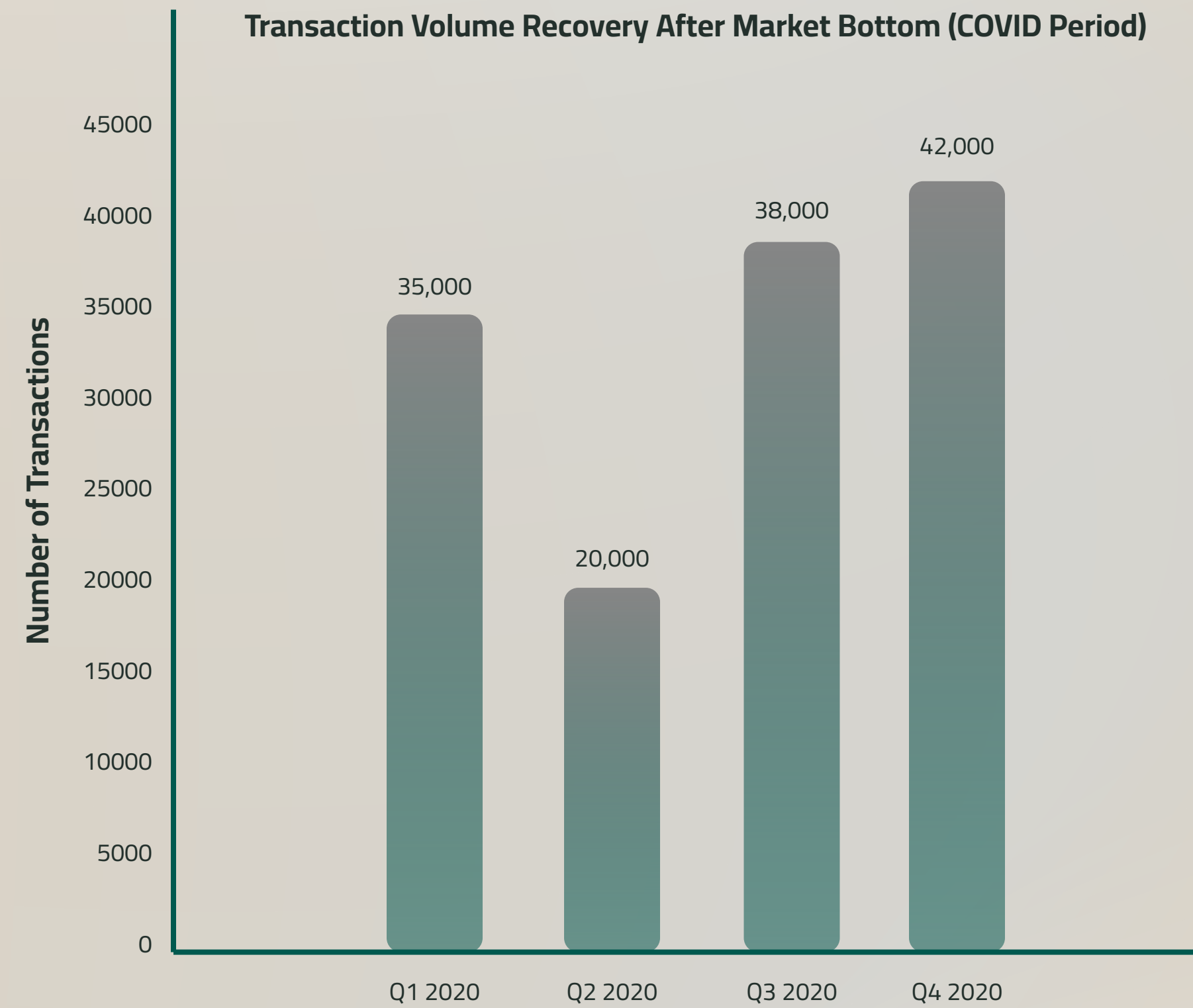


Historical Conflict Impact on Property Markets



Historical Conflict Impact on Property Markets

Transactions dropped during the initial COVID shock (Q2 2020) but nearly doubled in Q3 as investors re-entered the market once prices stabilized, accelerating the recovery cycle.



Expected Impact by Market Segment

Prime waterfront developments (such as Dubai Islands) fall within the most resilient asset category due to limited beachfront supply and strong international demand.

Prime Waterfront / Luxury Villas
Impact: -1% to -5%

Quality Residential
Impact: -5% to -12%

Mid-Market Apartments
Impact: -10% to -22%

Speculative Off-Plan
Impact: -20% to -35%

CHAPTER 5

Dubai Is Not One Market

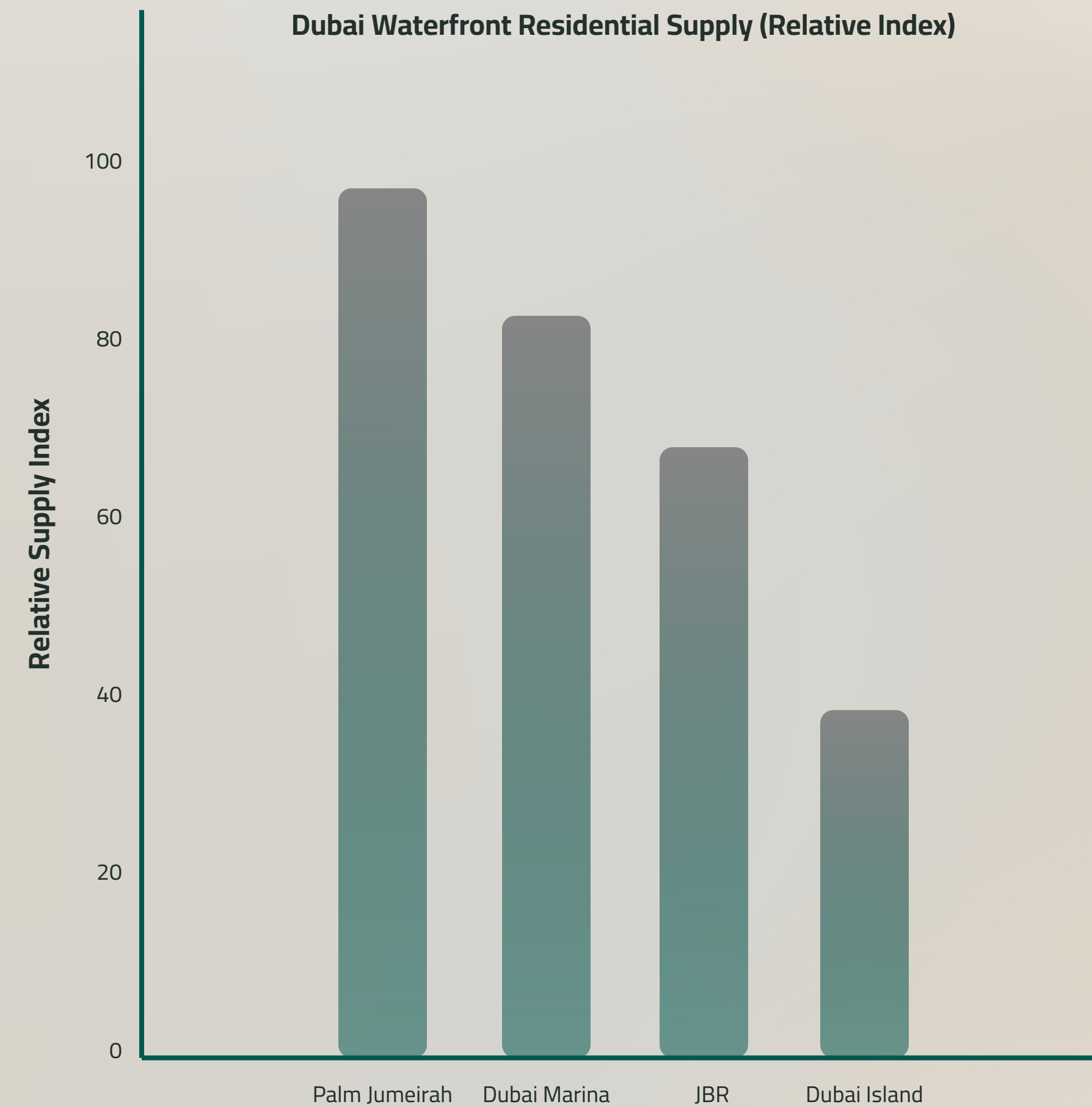
Quality determines outcome far more than geography

Tier	Short (0-6mo)	Mid (6-18mo)	Long (18mo+)	Examples	Key Characteristic
Tier 1: Prime	-1% to -5%	-2% to +5%	+5% to +25%	Prime villas, and residences from Top Tier Developers and developments	Undersupplied. 60% cash. 990 sales >AED 10M in Jan. End-user driven.
Tier 2: Quality Apt	-5% to -12%	-8% to +2%	0% to +18%	Quality apartments in established metro-connected communities	6-8% rental yields. Professional tenants. Mature communities.
Tier 3: Mid-Market	-10% to -22%	-15% to -5%	-5% to +12%	Mid-market apartments in high-supply corridors	81% of pipeline. Payment tools + DLD fee waivers available.
Tier 4: Speculative	-20% to -35%	-25% to -10%	-10% to +8%	Off-plan from smaller devs, STR units, holiday homes	STR tripled in 3yrs. Tourism losses \$34-56B. Insurance risk.

The conflict produces a sorting mechanism: strong assets absorb bullish forces (flight to quality, safe-haven inflows, oil revenues) while weak assets absorb bearish ones (tourism collapse, insurance repricing). Selling quality into fear has been the worst possible decision in every comparable scenario.

Implications for Dubai Islands

- Prime waterfront development with limited beachfront supply.
- Strong international buyer demand for luxury coastal assets.
- Positioned within resilient prime real estate segment.
- Long-term tourism and lifestyle appeal supports property values.
- Potential beneficiary of global safe-haven capital inflows.



Dubai Islands positioned as a future luxury waterfront hub with limited supply.

Structural Strength of the UAE

Dubai real estate historically resilient to geopolitical shocks.

Market downturns typically short-lived with strong recoveries.

Dubai remains undervalued compared with global property markets.

Prime assets expected to outperform mid-market segments.

Dubai Islands positioned within resilient luxury waterfront market.

Thank You